CSIS JAPAN CHAIR

Japan Daily Brief

Wednesday, November 4, 2026

1,893 words · 8 min read

RE: US midterms shift Tokyo calculus · DPRK cluster-warhead cruise missile test · Nikkei sinks · food tax bill at crossroads

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
62,188.63	158.41	$102.20	1.25%
▼ -2.76%	▲ +0.37%	▼ -13.12%	

TOP STORIES

ECONOMY-BOJ

Tokyo stocks end lower in volatile trade as US Democrats retake Congress

Tokyo stocks closed lower in volatile trading Wednesday as projections of a Democratic sweep of both the House and Senate rattled markets; the Nikkei 225 declined as much as *4.8 percent* intraday, with chip and AI-related shares falling more than 13 percent and briefly pushing the index toward 60,000. The yen strengthened as investors unwound risk positions tied to Trump-era technology deregulation expectations.

MAINICHI

ALLIANCE

Japan Braces for Trump's Foreign Policy Shifts After US Midterms

Japan Forward reports Tokyo officials are recalibrating alliance expectations following the Democratic midterm sweep, with concern that a weakened **Donald Trump** may pivot toward accommodations with Beijing and Moscow that could undercut US-Japan coordination on defense spending, export controls, and the International Criminal Court. The article notes the Takaichi-Trump personal rapport is now subject to new stress from the domestic political constraints a lame-duck presidency imposes.

JAPAN FORWARD

DEFENSE

Talk of Germany joining GCAP fighter program grows, but Japanese concerns persist

Officials in Tokyo are worried that adding Germany as a new partner in the Global Combat Air Programme at this stage could further delay the aircraft's planned 2035 introduction date, per Japan Times reporting. Fusion company agreements were signed during a Japan-Germany meeting, per the American Nuclear Society, but the broader GCAP partnership question remains unresolved.

THE JAPAN TIMES

CHINA-JAPAN

Japan spots Chinese WZ-7 high-altitude drone transiting Miyako Strait; Beijing calls flights routine

Japan's Defense Ministry reported spotting a Chinese WZ-7 reconnaissance drone passing through the Miyako Strait — a key chokepoint between Okinawa's main island and Miyako Island — while a Chinese expert cited by Global Times characterized such transits as normal and dismissed Japanese concern. The WZ-7 is a high-altitude long-endurance drone used for strategic reconnaissance.

GLOBAL TIMES · NOV 4, 2026

DEFENSE

Japan to bolster defenses with unified missile, artillery systems

Japan is moving to bolster its defenses by developing a unified command-and-control architecture linking its missile and artillery systems, per Nikkei Asia, as part of the continuing defense buildup under the Three Strategic Documents. The move follows Japan's first public live-fire demonstration of the Type-25 anti-ship missile in late October.

NIKKEI ASIA

STAT OF THE DAY

910 million yen

Godzilla Minus Zero opening-day box office (Nov 4)

Toho's latest Godzilla film set a live-action opening-day record in Japan, earning approximately $5.75 million on its first day of release.

Japan's latest Godzilla film sets live-action opening-day record — Mainichi

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · WEDNESDAY, NOVEMBER 4, 2026

PM Watch: No confirmed PM appearance today · 5 day(s) since last confirmed appearance

官邸 · PRIME MINISTER'S OFFICE / CABINET · *Prime Minister Sanae Takaichi*

Consumption tax-cut bill set for House of Representatives passage as early as November 6; PM scheduled for Diet floor questioning

The LDP has set a target of passing the food consumption tax-cut bill through the lower house as early as November 6, with PM Takaichi's questioning in the chamber flagged as a condition for the schedule. The bill faces opposition from DPP leader Yuichiro Tamaki, who rejected the current form and conditioned DPP support on the ruling coalition accepting an alternative proposal.

→ Asahi ↗

官邸 · PRIME MINISTER'S OFFICE / CABINET · *Prime Minister Sanae Takaichi*

Government cybersecurity emergency package to be published November 6

The government's emergency cybersecurity countermeasures package — directed by PM Takaichi the week of October 27 — is set for public release on November 6 and is designed to support corporate cybersecurity upgrades.

→ Asahi ↗

防衛省 · MINISTRY OF DEFENSE · *Defense Minister Shinjiro Koizumi; METI Minister Ryosei Akazawa*

Defense Minister and METI Minister hold joint session with defense-industry representatives on strengthening industrial base

Defense Minister **Shinjiro Koizumi** and METI Minister **Ryosei Akazawa** jointly met with defense-industry representatives to exchange views on reinforcing Japan's defense industrial base, per Asahi reporting.

→ Asahi ↗

PERSONNEL CHANGES

APPOINTED

Minister, State Minister, and Parliamentary Vice-Minister of the Disaster Management Agency

The Kantei announced the appointment of ministerial leadership for the newly inaugurated Disaster Management Agency, which held its inauguration ceremony and has drawn applications from 49 regional governments and groups seeking to host its regional bureaus.

DIET SESSIONS / LDP

DPP (DEMOCRATIC PARTY FOR THE PEOPLE)

DPP leader Yuichiro Tamaki rejects food tax cut bill in current form

Yuichiro Tamaki indicated DPP support for the legislation is conditional on the ruling coalition accepting the DPP's alternative proposal, raising uncertainty about the November 6 passage target despite LDP floor majority arithmetic.

CDP (CONSTITUTIONAL DEMOCRATIC PARTY)

Yamaguchi prefectural branch of CDP makes unusual out-of-prefecture personnel appointments

The Yamaguchi prefectural branch of the CDP appointed a Hiroshima-district lawmaker as branch chair and a Fukuoka-district lawmaker as secretary-general — an atypical arrangement that Asahi flags as a sign of the opposition party's thin bench in that region.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
JNN · Nov 2, 2026	**64.9%**	**32.5%**
ANN · Oct 19, 2026	**47.1%**	**33.3%**
Asahi · Oct 19, 2026	**50%**	**35%**
Kyodo · Oct 19, 2026	**49.1%**	**33%**
FNN · Oct 19, 2026	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026	**57%**	**30%**

NHK · Oct 14, 2026	**50.8%**	**32%**

Discourse: Opposition parties have stepped up criticism of PM Takaichi for skipping last month's G7 ministerial meeting, while Kyodo analysis warns that her tightening grip on LDP personnel may stir intraparty dissent entering her second year.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

SEMICONDUCTORS · NIKKEI ASIA · MITSUI CHEMICALS, JSR

Mitsui Chemicals to acquire JSR, Japan's leading chip photoresist maker, for over $8.2 billion

Mitsui Chemicals has agreed to acquire JSR Corporation — Japan's dominant supplier of photoresists and other semiconductor process materials — for more than *$8.2 billion*, in what would be one of the largest Japanese chemical-sector deals. JSR supplies critical lithography materials to leading chipmakers globally, making the transaction significant to US and allied semiconductor supply-chain resilience.

ENERGY · FT · MITSUI, MITSUBISHI CORPORATION

Japanese trading houses post profit surge on copper and Middle East conflict; Mitsui chief warns of geopolitical unpredictability

Four major Japanese general trading companies revised earnings upward, with several on track for record profits driven by elevated copper prices and resource gains tied to Middle East conflict. Mitsui's chief executive warned that geopolitical risks continue to be 'unpredictable rather than calming down,' per FT Tokyo bureau reporting.

MACRO · NIKKEI ASIA

Japanese trading house chiefs warn of post-midterm policy uncertainty

Senior executives at Japan's major trading houses signaled concern about the trade and regulatory policy direction following the Democratic takeover of Congress, with implications for commodity and energy investments tied to US market access and tariff frameworks.

FINANCE · NIKKEI ASIA · SBI HOLDINGS, EREBOR

SBI Holdings to invest in US digital bank Erebor, targeting blockchain-based settlements

Japan's SBI Holdings announced an investment in US digital bank Erebor, aiming to develop blockchain-based cross-border settlement infrastructure — part of SBI's continuing expansion into digital finance.

TECH · NIKKEI ASIA · ANTHROPIC

Anthropic targets up to $3.5 billion from Japanese investors in IPO

AI company Anthropic is seeking to raise *up to $3.5 billion* from Japanese institutional and retail investors as part of its forthcoming initial public offering, per Nikkei Asia, reflecting the continuing appetite among Japanese investors for US AI sector exposure.

MACRO · MAINICHI

Mainichi editorial: Japan's sustained 2% inflation challenges case for expansionary fiscal policy

A Mainichi editorial argues that Japan's persistent *+2.6 percent* CPI environment calls into question the rationale for continued expansionary fiscal policy, as the BOJ's December rate-hike expectations firm up and the food tax-cut bill advances through the Diet.

REGIONAL PRESSURE WATCH

Heavy — 43 items (DPRK: 37, Chief Cabinet Sec: 3, BOJ: 3)

CHINA

Japan's Defense Ministry reported spotting a Chinese WZ-7 high-altitude reconnaissance drone transiting the Miyako Strait, a key chokepoint in the Nansei island chain; Beijing dismissed Japanese concern, calling such

transits normal. No new China Coast Guard or PLA vessel activity in the Senkaku territorial waters is reported in today's data.

NORTH KOREA

North Korea confirmed via KCNA a test of a strategic cruise missile fitted with a cluster-dispersal warhead claimed to devastate *six hectares* per strike — its fourth weapons launch in a month and the first confirmed cruise missile cluster-warhead test — while separately firing multiple projectiles into the Sea of Japan assessed by Seoul and Tokyo as not threatening Japanese territory. Pyongyang also issued a statement condemning Japan's missile-system deployments and US-Japan joint drills, warning of rising tensions.

RUSSIA

No new Russian military or territorial signal toward Japan is reported in today's Tier 1 or Tier 4 data beyond the persistent baseline; the Hokkaido Shimbun reporter Yuki Imai detention case in Sakhalin remains unresolved.

Senkaku / ECS: No new China Coast Guard intrusions into Senkaku territorial waters reported in today's data; the WZ-7 drone transit through the Miyako Strait is the primary China military-activity signal near the Nansei chain.

> *"N. Korea slams Japan's missile reinforcement, joint drills with US"*
>
> KCNA / North Korean government statement · N. Korea slams Japan's missile reinforcement, joint drills with US — The Korea Times

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Bottom line: North Korea's fourth weapons launch in a month — now extending cluster-warhead technology to cruise missiles — is the primary adversary signal; the Miyako Strait WZ-7 drone transit represents a continued pattern of Chinese ISR activity near the Nansei chain rather than a new escalation. Watch for Japan MOD's formal response to the KCNA cruise missile announcement and any coordination signal in the US-Japan-ROK trilateral channel.

U.S.-JAPAN RELATIONS

ALLIANCE · MAINICHI

Tokyo reaffirms US-Japan alliance as essential regardless of midterm outcome

Chief Cabinet Secretary **Minoru Kihara** stated the US-Japan alliance remains essential for global peace and stability following projections of a Democratic sweep in the November 4 midterm elections. The statement is designed to signal continuity to both Tokyo's domestic audience and Washington amid uncertainty over whether a weakened Trump administration will recalibrate its foreign policy posture.

INDO-PACIFIC PARTNERS

SOUTHEAST ASIA · THE JAPAN TIMES

Japan unlikely to raise foreign worker cap despite labor shortages, minister says

Economic Security Minister **Kimi Onoda**, who also holds the foreign nationals portfolio, stated that demand for a special visa category is expected to eventually decline and that Japan does not plan to raise the cap on foreign workers — a position with implications for ASEAN labor-sending nations that have sought expanded access.

SOUTHEAST ASIA · THE JAPAN TIMES

Tokyo Metropolitan Police to introduce AI-based accident reconstruction system

Tokyo police will deploy an AI system combining 3D spatial data with security camera footage to reconstruct accident scenes, reducing on-site inspection requirements — a domestic technology governance development with

potential export implications to partner nations.

KOREA-JAPAN · MAINICHI

South Korean national arrested in Japan for illegally exporting vehicles worth 220 million yen to Russia

A 36-year-old South Korean national was arrested in western Japan on suspicion of illegally exporting vehicles worth approximately *220 million yen* to Russia, in a case that highlights continued third-country circumvention of Japan-aligned export controls.

UPCOMING

Nov 6

Food consumption tax-cut bill targeted for lower-house passage

The LDP has set November 6 as the target date for House of Representatives passage of the food consumption tax-cut and child-support support bill; DPP leader Tamaki's conditional opposition introduces passage risk.

Nov 6

Government cybersecurity emergency package due for release

The Cabinet is set to publish its emergency cybersecurity countermeasures package on November 6, directed by PM Takaichi in late October in response to surging ransomware and cyberattacks on Japanese companies.

Nov 6

PM Takaichi Diet floor questioning scheduled

PM Takaichi is expected to appear for Diet floor questioning in connection with the consumption tax-cut bill schedule, her first confirmed Diet appearance since October 30.

Dec

BOJ Monetary Policy Meeting — December rate hike bets firming

Market pricing and Mainichi editorial commentary indicate building expectations for a BOJ rate hike at the December Monetary Policy Meeting, with CPI at +2.6 percent sustaining the inflation target overshoot.

Nov

Okinawa Policy Council meeting — first in 13 years

The central government's Okinawa Policy Council is scheduled to convene for the first time in 13 years to coordinate on base-hosting and regional policy, including the Futenma-to-Henoko relocation.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

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